

MINDTECK SINGAPORE PTE. LTD.
(Co. Reg. No. 199804845D)

AUDITED FINANCIAL STATEMENTS
FOR THE YEAR ENDED
31 MARCH 2014

HAJAMAIDEEN & CO.
PUBLIC ACCOUNTANTS AND
CHARTERED ACCOUNTANTS
SINGAPORE

MINDTECK SINGAPORE PTE LTD

(Incorporated in Singapore)

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CORPORATE DATA

Company Registration Number : 199904845D

Board of Director : Jacob Pillay

Secretary : Ahamed Mohideen Seyed Ali Rashiq

**Registered Office : 7B Keppel Road, #05-09
Tanjong Pagar Complex
Singapore 089055**

**Auditors : HAJAMAIDEEN & CO.
100 Jalan Sultan #09-06
Sultan Plaza
Singapore 199001**

DIRECTOR'S REPORT

The director presents this report to the members together with the audited financial statements of the Company for the financial year ended 31 March 2014.

Statement by director and the financial statements attached are deemed to be part of this report under Section 201 of the Companies Act, Cap. 50.

DIRECTOR

The director holding office at the date of this report is:

Jacob Pillay

ARRANGEMENTS TO ENABLE DIRECTOR TO ACQUIRE SHARES OR DEBENTURES

Neither at the end of nor at any time during the financial year was the Company a party to any arrangement whose object was to enable the director of the Company to acquire benefits by means of the acquisitions of shares in or debentures of the Company or any other body corporate.

DIRECTOR'S INTERESTS IN SHARES OR DEBENTURES

The director holding office at the end of the financial year had no interests in the share capital of the Company as recorded in the register of directors' shareholdings kept by the Company under Section 164 of the Companies Act, Cap. 50.

DEEMED INTEREST

There are no deemed indirect interests by the director in the Company as at 31 March 2014.

DIRECTOR'S CONTRACTUAL BENEFITS

Except as disclosed in the financial statements, since the end of the previous financial year, no director has received or become entitled to receive a benefit by reason of a contract made by the Company or by a related corporation with the director or with a firm in which he is a member or with a Company in which he has a substantial financial interest.

SHARE OPTIONS

There were no share options granted by the Company during the financial year.

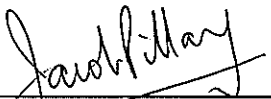
There were no shares issued during the financial year by virtue of the exercise of options to take up unissued shares of the Company.

There were no unissued shares under option at the end of the financial year.

DIRECTOR'S REPORT

INDEPENDENT AUDITORS

The independent auditors, Hajamaideen & Co., (Public Accountants and Chartered Accountants of Singapore) have expressed their willingness to accept re-appointment.



Jacob Pillay
Director

Date: 30 September 2014

STATEMENT BY DIRECTOR

In my opinion,

- a) the financial statements are drawn up so as to give a true and fair view of the state of affairs of the Company as at 31 March 2014, and of the results, changes in equity of the Company and cash flows of the Company for the year ended on that date; and
- b) at the date of this statement, there are reasonable grounds to believe that the Company will be able to pay its debts as and when they fall due.

The Board of Director has on the date of this statement authorised these financial statements for issue.


Jacob Pillay
Director

Date: 30 September 2014

HAJAMAIDEEN & CO.

*Public Accountants and
Chartered Accountants*

100 Jalan Sultan #09-06
Sultan Plaza
Singapore 199001
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INDEPENDENT AUDITOR'S REPORT TO THE MEMBERS OF MINDTECK SINGAPORE PTE LTD

Report on the Financial Statements

We have audited the accompanying financial statements of **MINDTECK SINGAPORE PTE. LTD.**, which comprise the statement of financial position as at 31 March 2014, and the statement of comprehensive income, statement of changes in equity and statement of cash flows for the year then ended, and a summary of significant accounting policies and other explanatory information.

Management's Responsibility for the Financial Statements

Management is responsible for the preparation of financial statements that give a true and fair view in accordance with the provisions of the Singapore Companies Act, Chapter 50 (the "Act") and Singapore Financial Reporting Standards, and for devising and maintaining a system of internal accounting controls sufficient to provide a reasonable assurance that assets are safeguarded against loss from unauthorised use or disposition; and transactions are properly authorised and that they are recorded as necessary to permit the preparation of true and fair profit and loss accounts and statement of financial position and to maintain accountability of assets.

Auditor's Responsibility

Our responsibility is to express an opinion on these financial statements based on our audit. We conducted our audit in accordance with Singapore Standards on Auditing. Those standards require that we comply with ethical requirements and plan and perform the audit to obtain reasonable assurance about whether the financial statements are free from material misstatement.

An audit involves performing procedures to obtain audit evidence about the amounts and disclosures in the financial statements. The procedures selected depend on the auditor's judgment, including the assessment of the risks of material misstatement of the financial statements, whether due to fraud or error. In making those risk assessments, the auditor considers internal control relevant to the entity's preparation of financial statements that give a true and fair view in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control. An audit also includes evaluating the appropriateness of accounting policies used and the reasonableness of accounting estimates made by management, as well as evaluating the overall presentation of the financial statements.

We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our audit opinion.

Opinion

In our opinion, the financial statements are properly drawn up in accordance with the provisions of the Act and Singapore Financial Reporting Standards so as to give a true and fair view of the state of affairs of the Company as at 31 March 2014 and of the results, changes in equity and cash flows of the Company for the year ended on that date.

Report on Other Legal and Regulatory Requirements

In our opinion, the accounting and other records required by the Act to be kept by the Company have been properly kept in accordance with the provisions of the Act.

Hajamaideen & Co.
Public Accountants and
Chartered Accountants
Singapore

Date: 30 September 2014

MINDTECK SINGAPORE PTE LTD

STATEMENT OF FINANCIAL POSITION AS AT 31 MARCH 2014

	Note	2014 \$	2013 \$
ASSETS			
Non-Current Assets			
Goodwill	2(d)	534,583	534,583
Plant and equipment	4	4,365	7,189
		<u>538,948</u>	<u>541,772</u>
Current Assets			
Trade receivables	6	832,839	772,323
Other receivables	7	42,019	39,459
Due from related parties	10	273,314	146,284
Cash and cash equivalents	5	56,334	82,025
		<u>1,204,506</u>	<u>1,040,091</u>
TOTAL ASSETS		<u>1,743,454</u>	<u>1,581,863</u>
EQUITY AND LIABILITIES			
Equity			
Share capital	9	1,310,500	1,310,500
Capital reserve		1,997	1,997
Accumulated (losses)		(407,516)	(448,404)
		<u>904,981</u>	<u>864,093</u>
Current Liabilities			
Trade payables	8	17,575	5,413
Other payables	8	530,604	602,848
Due to related parties	10	290,294	109,509
		<u>838,473</u>	<u>717,770</u>
TOTAL EQUITY AND LIABILITIES		<u>1,743,454</u>	<u>1,581,863</u>

MINDTECK SINGAPORE PTE LTD

**STATEMENT OF COMPREHENSIVE INCOME
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

	Note	<u>2014</u> \$	<u>2013</u> \$
Revenue		4,040,235	4,750,547
Cost of services		(3,112,815)	(3,861,003)
Gross profit		<u>927,420</u>	<u>889,544</u>
Other Income		42,045	15,683
Administrative expenses		(902,506)	(972,550)
Other operating expense		(4,262)	(12,721)
Finance costs		(19,225)	(21,627)
Profit / (Loss) before income tax		<u>43,472</u>	<u>(101,671)</u>
Income tax expense	12	-	-
Prior year adjustment		(2,584)	-
Profit / (Loss) for the financial year		<u>40,888</u>	<u>(101,671)</u>
Other comprehensive income		-	-
Total comprehensive profit / (loss)		<u>40,888</u>	<u>(101,671)</u>

MINDTECK SINGAPORE PTE LTD**STATEMENT OF CHANGES IN EQUITY
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

	Share Capital \$	Capital Reserve \$	Accumulated (losses) \$	Total \$
Balance at 1 April 2013	1,310,500	1,997	(448,404)	864,093
Total comprehensive profit for the year	-	-	40,888	40,888
Balance at 31 March 2014	1,310,500	1,997	(407,516)	904,981
Balance at 1 April 2012	1,310,500	1,997	(346,733)	965,764
Total comprehensive (loss) for the year	-	-	(101,671)	(101,671)
Balance at 31 March 2013	1,310,500	1,997	(448,404)	864,093

MINDTECK SINGAPORE PTE LTD

STATEMENT OF CASH FLOWS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014

	<u>2014</u>	<u>2013</u>
	<u>\$</u>	<u>\$</u>
Cash flows from operating activities		
Profit / (Loss) before income tax	40,888	(101,671)
Adjustments for:		
Depreciation	4,262	12,721
Finance interest	19,225	21,627
Operating cash flows before working capital changes	<u>64,375</u>	<u>(67,323)</u>
Changes in working capital:		
Trade receivables	(60,516)	(44,103)
Other receivables	(2,560)	32,961
Due from related parties	(127,030)	33,838
Trade and other payables	(60,082)	130,535
Due to related parties	180,785	(94,669)
Net cash (used in) operating activities	<u>(5,028)</u>	<u>(8,761)</u>
Cash flows from investing activities		
Purchase of plant and equipment	(1,438)	(8,203)
Net cash (used in) investing activities	<u>(1,438)</u>	<u>(8,203)</u>
Cash flows from financing activities		
Finance interest	(19,225)	(21,627)
Net cash (used in) financing activities	<u>(19,225)</u>	<u>(21,627)</u>
Net (decrease) in cash and cash equivalents	(25,691)	(38,591)
Cash and cash equivalents at beginning of the year	82,025	120,616
Cash and cash equivalents at end of the year	<u>56,334</u>	<u>82,025</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

(These notes form an integral part of and should be read in conjunction with the accompanying financial statements.)

1. General corporate information

The financial statements of the Company for the year ended 31 March 2014 were authorised for issue in accordance with a resolution of the director on the date of the Statement by Director.

The Company is incorporated in Singapore and its registered office is at 7B Keppel Road, #05-09 Tanjong Pagar Complex, Singapore 089055.

The principal activities of the Company are those of the software development and consultancy services and the provision of contract information technology professionals. There were no significant changes in the nature of these activities during the financial year.

The holding company is Mindteck (India) Limited and the ultimate holding company is Transcompany Limited. The holding company and ultimate holding company are incorporated in India and British Virgin Islands respectively.

2. Significant accounting policies

(a) Basis of preparation of financial statements

The financial statements are prepared in accordance with Singapore Financial Reporting Standards ("FRS") including related Interpretations of FRS and are prepared under the historical cost convention, except as disclosed in the accounting policies below.

The preparation of financial statements in conformity with FRS requires the management to exercise judgement in the process of applying the Company's accounting policies and requires the use of accounting estimates and assumptions that affect the reported amounts of assets and liabilities and disclosure of contingent assets and liabilities at the end of the financial year, and the reported amounts of revenue and expenses during the financial year. Although these estimates are based on the management's best knowledge of current events and actions, actual results may differ from these estimates.

The accounting policies have been consistently applied by the Company.

(b) New or revised FRS adopted

At beginning of the financial year, the Company adopted the new or revised FRS that are mandatory for application from that date. Changes to the Company's accounting policies have been made as required, in accordance with the transitional provisions in the respective FRS.

(c) Plant & equipment and depreciation

All items of plant and equipment are initially recorded at cost. Subsequent to initial recognition, plant and equipment are stated at cost less accumulated depreciation and impairment in value, if any.

The cost of plant and equipment includes expenditure that is directly attributable to the acquisition of the items. Dismantlement, removal or restoration costs are included as part of the cost of plant and equipment if the obligation for dismantlement, removal or restoration is incurred as a consequence of acquiring or using the plant and equipment.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

2. Significant accounting policies (continued)

(c) Plant & equipment and depreciation (continued)

Subsequent expenditure relating to the plant and equipment that has already been recognised is added to the carrying amount of the asset when it is probable that the future economic benefits, in excess of the standard of performance of the asset before the expenditure was made, will flow to the Company, and the cost can be reliably measured. Other subsequent expenditure is recognised as an expense during the financial year in which it is incurred.

On disposal of an item of plant and equipment, the difference between the net disposal proceeds and its carrying amount is taken to profit or loss.

Depreciation is calculated on the straight-line method so as to write off the cost of the plant and equipment over their estimated useful lives as follows:

	Years
Furniture and fittings	5
Office equipments	5
Renovation	2
Computer Equipments	3

Depreciation methods, useful lives and residual values are reviewed, and adjusted as appropriate, at the end of each reporting period. Fully depreciated assets are retained in the accounts until they are no longer in use.

(d) Goodwill on acquisition of business

Goodwill represents the excess of the fair value of the consideration paid over the fair value of the identifiable net assets of the business when acquired.

Goodwill is stated at cost less impairment loss.

(e) Cash and cash equivalents

Cash and cash equivalents comprise of cash in hand and bank balances.

(f) Financial instruments

Financial assets and financial liabilities are recognised on the Company's statement of financial position when the Company becomes a party to the contractual provisions of the instrument.

Financial assets

Financial assets include cash financial instruments, if any, can be divided into the following categories: financial assets at fair value through profit or loss, held-to maturity investments, loan and receivables and available-for sale financial assets. Financial assets are assigned to the different categories by management on initial recognition, depending on the purpose for which the investments were acquired. The designation of financial assets is re-evaluated and classification may be changed at the reporting date with the exception that the designation of the financial assets at fair value through profit or loss is not revocable.

All financial assets are recognised on their trade date – the date on which the Company commit to purchase or sell the asset. All financial assets that are not classified as fair value through profit or loss are initially recognised at fair value, plus transaction costs.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

2. Significant accounting policies (continued)

(f) Financial instruments (Continued)

Financial assets (Continued)

Derecognition of financial instruments occurs when the rights to receive cash flows from the investments expire or are transferred and substantially all of the risks and rewards of ownership have been transferred. As assessment for impairment is undertaken at least at each Statement of Financial Position date whether or not there is objective evidence that a financial asset or a group of financial assets is impaired.

Non-compounding interest and other cash flow resulting from holding financial assets are recognised in profit or loss when received, regardless of how the related carrying amount of the financial assets is measured.

Loans and Receivables

Loans and receivables are non-derivative financial assets with fixed or determinable payments that are not quoted in active market. They arise when the Company provides money, goods or services directly to a debtor with no intention of trading the receivables. They are included in current assets, except for those with maturities greater than 12 months after the Statement of Financial Position date, which are then classified as non-current assets.

Loans and receivables are subsequently measured at amortized cost using the effective interest method, less provision for impairment. Any change in their value is recognised in Statement of Comprehensive Income. Any reversal shall not result in a carrying amount that exceeds what the amortized cost would have been had any impairment loss not been recognised at the date of impairment is reversed. Any reversal is recognised in the Statement of Comprehensive Income.

Receivables are provided against when there is objective evidence that the Company will not be able to collect all amounts due to it in accordance with the original terms of the receivables. The amount of provision for impairment is determined as the difference between the asset's carrying amount and the present value of estimated future cash flows.

Loans and receivables include trade and non-trade balances with third parties.

Financial Liabilities

The Company's financial liabilities include trade and other payables.

Financial liabilities are recognised when the Company becomes a party to the contractual agreements of the instrument. All interest related charges is recognised as an expense in "finance costs" in the Statement of Comprehensive Income.

Borrowings are recognised initially at fair value of proceeds received less attributable transaction costs, if any. Borrowings are subsequently stated at amortized cost which is the initial fair value less any principal repayments. Any difference between the proceeds (net of transaction costs) and the redemption value is taken to profit and loss over the period of borrowings using effective interest method.

Borrowings which are due to be settled within twelve months after the Statement of Financial Position date are in current borrowings in the Statement of Financial Position even though the original terms were for a period longer than twelve months and an agreement to refinance, or to reschedule repayments, on a long-term basis is completed after the Statement of Financial Position date. Borrowings to be settled within the Company's normal operating cycle are considered as current. Other borrowings due to be settled more than twelve months after the Statement of Financial Position date are included in the non-current borrowings in the Statement of Financial Position.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

2. Significant accounting policies (Continued)

(f) Financial instruments (Continued)

Financial Liabilities (Continued)

Equity instruments issued by the Company, if any, are recorded at the proceeds received, net of direct issue costs.

Trade and other payables are initially measured at fair value, and subsequently measured at amortized cost, using the effective interest method.

(g) Income tax

The tax is determined on the basis of tax effect accounting using the liability method and is applied to all significant timing differences. Deferred tax benefits are not recognised unless there is reasonable expectation of their realisation.

(h) Impairment of assets

The carrying amounts of Company's assets are reviewed at each Statement of Financial Position date to determine whether there is any indication of impairment. If any such indication exists, the assets' recoverable amount is estimated.

An impairment loss is recognised whenever the carrying amount of an asset or cash-generating unit exceeds its recoverable amount. All impairment losses are recognised in the statement of comprehensive income. Recoverable amount is defined as the higher of value in use and net selling price.

An impairment loss is reversed if there has been a change in the estimates used to determine the recoverable amount or when there is an indication that the impairment loss recognised for the assets' carrying amount does not exceed the carrying amount that would have been determined if no impairment loss had been recognised.

(i) Provisions

Provisions are recognised when the Company has a present obligation (legal or constructive) as a result of past events, it is more likely than not that an outflow of resources will be required to settle the obligation and the amount has been reliably estimated. Provisions are not recognised for future operating losses.

Changes in the estimated timing or amount of the expenditure or discount rate are recognised in profit or loss when the changes arise.

(j) Share capital

Ordinary shares are classified as equity. Incremental costs directly attributable to the issue of ordinary shares are recognised as a deduction from equity, net of any tax effects. Share capital is recognised at the fair value of the consideration received by the Company.

(k) Revenue recognition

Revenue from services rendered is recognised when the amount of revenue and costs incurred can be measured reliably and collectability of the consideration is probable by reference to the stage of completion of the transaction at the reporting date.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

2. Significant accounting policies (continued)

(l) Borrowing costs

Borrowing costs are recognised in profit or loss using the effective interest method except for those costs that are directly attributable to the acquisition, construction or production of a qualifying asset. Those costs are capitalised in the cost of that asset. The borrowing costs cease to be capitalised when substantially all the activities necessary to prepare the qualifying asset for its intended use or sale are complete.

(m) Functional currency and foreign currency transactions

The financial statements of the Company are measured and presented in the currency of the primary economic environment in which the entity operates ("functional currency").

The financial statements of the Company are presented in Singapore dollars, which is the functional currency of the Company.

In preparing the financial statements, transactions in currencies other than the entity's functional currency ("foreign currency") are recorded at the rates of exchange prevailing on the date of the transactions. At the end of each financial year end, monetary items denominated in foreign currencies are re-translated at the rates prevailing on the end of the financial year. Non-monetary items carried at fair value that are denominated in foreign currencies are re-translated at the rates prevailing on the date when the fair value was determined. Non-monetary items that are measured in terms of historical cost in a foreign currency are not re-translated.

Exchange differences arising on the settlements of monetary items and on re-translating of monetary items are included in the statement of comprehensive income for the financial year. Exchange difference arising on the re-translation of non-monetary items carried at fair value are included in profit or loss for the financial year except for differences arising on the re-translation of non-monetary items in respect of which gains and losses are recognised directly in equity. For such non-monetary items, any exchange component of that gain or loss is also recognised directly in equity.

(n) Employee benefits

Defined contribution plan

The Company contributes to Central Provident Fund ("CPF") a defined contribution plan regulated and managed by the Government of Singapore. The Company's contribution to CPF are charged to the Statement of Comprehensive Income in the period to which the contribution relate.

Employee leave entitlements

Employee entitlements to annual leave are recognised when they accrue to employees. Accrual is made for unconsumed leave as a result of services rendered by employees up to the Statement of Financial Position date.

(o) Operating leases

Leases of assets where substantially all risks and rewards incidental to ownership are retained by the lessors are classified as operating leases. Payments made under operating leases are recognised in profit or loss on a straight-line basis over the period of the lease.

Contingent rents are recognised as an expense in profit or loss when incurred.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

2. Significant accounting policies (continued)

(p) Related parties

For the purposes of these financial statements, parties are considered to be related to the Company if the Company has the ability, directly or indirectly, to control the party or exercise significant influence over the party in making financial and operating decisions, or vice versa, or where the Company and the party are subject to common control or significant influence. Related parties may be individuals or other entities.

(q) Contingencies

A contingent liability or asset is a possible obligation or asset that arises from past events and whose existence will be confirmed only by the occurrence or nonoccurrence of uncertain future event(s) not wholly within the control of the Company.

Contingent liabilities and assets are not recognised on the financial statements of the Company.

3. Critical accounting estimates, assumptions and judgements

The preparation of financial statements in conformity with FRS requires management to exercise its judgement in the process of applying the Company's accounting policies. It also requires the use of certain critical accounting estimates and assumptions.

Estimates, assumptions and judgements are continually evaluated and are based on historical experience and other factors, including expectations of future events that are believed to be reasonable under the circumstances.

4. Plant and equipment

	Furniture & fittings	Office Equipments	Renovation	Computer Equipments	Total
2014	\$	\$	\$	\$	\$
Cost					
Balance at 1 April 2013	6,280	9,887	26,415	165,033	207,615
Additions	-	-	-	1,438	1,438
Balance at 31 March 2014	6,280	9,887	26,415	166,471	209,053
Accumulated depreciation					
Balance at 1 April 2013	5,966	8,323	26,415	159,722	200,426
Depreciation for the year	73	458	-	3,731	4,262
Balance at 31 March 2014	6,039	8,781	26,415	163,453	204,688
Net book value at 31 March 2014	241	1,106	-	3,018	4,365

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

4. Plant and equipment (Continued)

	Furniture & fittings	Office Equipments	Renovation	Computer Equipments	Total
2013	\$	\$	\$	\$	\$
Cost					
Balance at 1 April 2012	5,912	8,702	26,415	158,383	199,412
Additions	368	1,185	-	6,650	8,203
Balance at 31 March 2013	6,280	9,887	26,415	165,033	207,615
Accumulated depreciation					
Balance at 1 April 2012	5,912	7,866	21,425	152,502	187,705
Depreciation for the year	54	457	4,990	7,220	12,721
Balance at 31 March 2013	5,966	8,323	26,415	159,722	200,426
Net book value at 31 March 2013	314	1,564	-	5,311	7,189

5. Cash and cash equivalents

	2014	2013
	\$	\$
Cash in hand	1,458	2,910
Cash at bank	54,876	79,115
	<u>56,334</u>	<u>82,025</u>

6. Trade receivables

	2014	2013
	\$	\$
Trade receivables – 3 rd parties	832,839	772,323
	<u>832,839</u>	<u>772,323</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

6. Trade receivables (Continued)

Concentration of credit risk relating to trade receivables is limited due to the Company's limited customers. The ageing of receivables at the reporting date is:

	<u>S\$</u>	<u>S\$</u>
Past due 0-30 days	348,329	-
Past due 31-60 days	270,068	-
Past due 61-90 days	177,060	-
Past due above 90 days	37,382	-
	<u>832,839</u>	<u>772,323</u>

Trade receivables are non-interest bearing and are recognized at their original invoice amounts which represent their fair values at initial recognition.

7. Other receivables

	<u>2014</u>	<u>2013</u>
	<u>\$</u>	<u>\$</u>
Deposits	10,365	10,105
Advances	966	10,164
Prepayments	30,688	19,190
	<u>42,019</u>	<u>39,459</u>

8. Trade and other payables

	<u>2014</u>	<u>2013</u>
	<u>\$</u>	<u>\$</u>
Trade payables	17,575	5,413
GST payable	108,484	63,269
Advance from customer	13,743	8,346
Accrued operating expenses	408,377	531,233
	<u>548,179</u>	<u>608,261</u>

9. Share capital

	<u>2014</u>	<u>2013</u>
	<u>\$</u>	<u>\$</u>
Issued and fully paid		
Beginning of the year – 1,310,500 Ordinary shares	1,310,500	1,310,500
Shares issued during the year	-	-
End of the year – 1,310,500 Ordinary shares	<u>1,310,500</u>	<u>1,310,500</u>

NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014

9. Share capital (Continued)

The ordinary shares have no par value. The holders of ordinary shares are entitled to receive dividends as declared from time to time and entitled to one vote per share at meeting of the Company. All shares rank equally with regards to Company's residual assets.

10. Related party transactions

In addition to the related party information disclosed elsewhere in the financial statements, significant transactions between the Company and its related parties on terms agreed with the parties during the financial year were as follows:

	<u>2014</u> <u>S\$</u>	<u>2013</u> <u>S\$</u>
Balances due from related parties		
Mindteck (India) Limited	2,990	2,900
Mindteck Germany GMBH	-	36,258
Mindteck Software Malaysia Sdn Bhd	113,090	13,211
Mindteck (UK) Limited	29,101	-
Mindteck Inc	128,133	93,915
	<u>273,314</u>	<u>146,284</u>
Balances due to related parties		
Mindteck (India) Limited	95,677	21,776
Mindteck Software Malaysia Sdn Bhd	38,303	87,733
Mindteck Inc	5,651	-
Mindteck (UK) Limited – Non trade	94,463	-
Mindteck Inc – Non trade	56,200	-
	<u>290,294</u>	<u>109,509</u>

All business transactions between the Company and other Companies in which the directors have an interest were carried out at arm's length and charged on the same basis chargeable to other non-related Companies.

The amount due from / to related parties are unsecured, interest free and is payable on demand.

11. Profit / (Loss) before income tax

	<u>2014</u> <u>\$</u>	<u>2013</u> <u>\$</u>
The above is arrived at after charging:		
Audit fee	7,200	6,000
Depreciation	4,262	12,721
Director's remuneration & CPF	154,840	152,385
Exchange loss	4,483	19,681
Finance interest	19,225	21,627

NOTES TO THE FINANCIAL STATEMENTS

FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014

12. Income tax

The Company has unutilized tax losses of \$531,351 (2013: \$556,787) which are available for offsetting against future taxable income. The maximum unrecorded deferred tax benefit arising from the above is \$90,330 (2013: \$94,654). The realization of the deferred tax benefit is available for unlimited period subject to no substantial change in the shareholders as required in the provision of the Income Tax Act.

13. Staff Costs

	2014	2013
	\$	\$
Salaries and bonuses	668,064	709,167
Employer's CPF and related expenses	55,538	51,658

Out of above staff cost, payment includes key management personnel compensation as below.

	2014	2013
	\$	\$
Director's remuneration & CPF	154,840	152,385

14. Financial instruments

(a) Financial risk management

The Company does not have any written financial risk management policies and guidelines. The Company does not hold or issue derivative financial instruments for trading purposes or to hedge against fluctuations, if any, in interest rates and foreign exchange. The Company's exposure to financial risks associated with financial instruments held in the ordinary course of business include:

Currency risk

Currency risk is the risk that the value of a financial instrument will fluctuate due to changes in foreign exchange rates. The Company operates and sells its products in several countries other than Singapore and translated in foreign currencies. As a result, the Company is exposed to movements in foreign currencies exchange rates.

The Company incurs foreign currency risk on transactions and balances that are denominated in a currency other than Singapore dollars.

NOTES TO THE FINANCIAL STATEMENTS FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014

14. Financial instruments (Continued)

(a) Financial risk management (Continued)

Currency risk (Continued)

	USD	MYR	Total
At 31 March 2014	\$	\$	\$
Financial assets			
Trade and other receivables	178,084	-	178,084
Cash and cash equivalents	-	-	-
Total	178,084	-	178,084
Financial liabilities			
Trade and other payables	189,487	294	189,781
Income tax payable	-	-	-
	189,487	294	189,781
Net assets / (liabilities)	(11,403)	(294)	(11,697)
Net Currency exposure of financial assets	(11,403)	(294)	(11,697)

Sensitivity analysis for foreign currency risk

If the USD and MYR change against the SGD by 5% respectively with all other variables including tax rate being held constant, the effects arising from the net financial liability / asset position will be as follows:

	Net assets/ (liabilities)	Sensitivity rate	Profit after tax	Other comprehensive income
At 31 March 2014	S\$		S\$	S\$
USD against SGD	(11,403)	5%	(570)	-
MYR against SGD	(294)	5%	(15)	-

A 5% strengthening of Singapore dollar against United States dollar (USD) and (MYR) at the reporting date would decrease profit by S\$585/-

A 5% weakening of Singapore dollar against US dollar would have had the equal but opposite effect. This analysis assumes that all other variables, in particular interest rates, remain constant.

Interest rate risk

Interest rate risk is the risk that the value of a financial instrument will fluctuate due to changes in market interest rates.

The Company has no interest bearing financial instruments, hence, is not exposed to any movements in market interest rates. The Company's exposure to market risk for changes in interest rates relates primarily to interest-bearing bank overdraft.

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

14. Financial instruments (Continued)

(a) Financial risk management (Continued)

Market risk

Market risk is the risk that the value of a financial instrument will fluctuate due to changes in market prices whether those changes are caused by factors specific to the individual security or its issuer or factors affecting all securities traded in the market.

The Company does not hold any quoted or marketable financial instrument, hence, is not exposed to any movements in market prices.

Credit risk

Credit risk is the risk that one party to a financial instrument will fail to discharge an obligation and cause the other party to incur a financial loss.

The Company has no significant concentrations of credit risk. The maximum exposure to credit risk is represented by the carrying amount of each financial asset on the Statement of Financial Position.

Cash and cash equivalents and fixed deposits are placed with or entered into with reputable financial institutions and has no history of default.

Trade receivables that are neither past due or impaired are substantially related party and an individual with a good collection track record with the company. Subsequent collections on trade receivables have been received after the date of Statement of Financial Position.

Liquidity risk

Liquidity or funding risk is the risk that an enterprise will encounter difficulty in raising funds to meet commitments associated with financial instruments. Liquidity risk may result from an inability to sell a financial asset quickly at close to its fair value. The Company ensures that there are adequate funds to meet all its obligations in a timely and cost-effective manner.

The Company maintains sufficient level of cash and cash equivalents to meet its working capital requirements.

The table below shows the liquidity analysis of the Company's financial assets and liabilities:

	Less than 1 year	Between 1 and 2 years	Between 2 and 5 years	Over 5 years
	\$	\$	\$	\$
At 31 March 2014				
Trade and other payables	838,473	-	-	-
Income tax payable	-	-	-	-
	<u>838,473</u>	<u>-</u>	<u>-</u>	<u>-</u>
At 31 March 2013				
Trade and other payables	717,770	-	-	-
Income tax payable	-	-	-	-
	<u>717,770</u>	<u>-</u>	<u>-</u>	<u>-</u>

**NOTES TO THE FINANCIAL STATEMENTS
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

14. Financial instruments (Continued)

(a) Financial risk management (Continued)

Cash flow risk

Cash flow risk is the risk that future cash flows associated with a monetary financial instrument will fluctuate in amount.

The Company is not exposed to any cash flows risk as it does not have any monetary financial instruments with variable interest rates.

(b) Fair values

The directors are of the view that the fair values of the financial assets and liabilities as at the statement of financial position date approximate their carrying amounts as disclosed in the statement of financial position and in the notes to the financial statements.

15. Capital Management

The company actively and regularly reviews and manages its capital structure to ensure optimal capital structure and shareholder returns, taking into consideration the future capital requirements of the company and capital efficiency, prevailing and projected profitability, projected operating cash flows, projected capital expenditures and projected investment opportunities.

There were no changes in the Company's approach to capital management during the year. The Company is not subject to externally imposed capital requirements.

The gearing ratio is calculated as net debt divided by total capital. Net debt is calculated as borrowings plus trade and other payables less cash and cash equivalents. Total capital is calculated as total equity plus net debt.

The gearing ratio calculation is as follows:

	2014	2013
	\$	\$
Net debt	782,139	635,745
Total equity	904,981	864,093
Total capital	<u>1,687,120</u>	<u>1,499,838</u>
Gearing ratio	<u>46%</u>	<u>42%</u>

16. Subsequent Events

There were no major events subsequent to the year end.

17. Comparative Figures

Certain comparative figures are re-classified to conform to the current year financial statements, but no material significant impact on overall financial statements.

**DETAILED INCOME STATEMENT
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014**

	<u>2014</u> \$	<u>2013</u> \$
Revenue	4,040,235	4,750,547
Less: Cost of services	(3,112,815)	(3,861,003)
Gross profit	<u>927,420</u>	<u>889,544</u>
Other income		
Other operating income	42,045	15,683
	<u>969,465</u>	<u>905,227</u>
Administrative expenses	<u>902,506</u>	<u>972,550</u>
Other operating expense		
Depreciation	<u>4,262</u>	<u>12,721</u>
Finance costs		
Finance interest	19,225	21,627
	<u>19,225</u>	<u>21,627</u>
Sub total	<u>925,993</u>	<u>1,006,898</u>
Net Profit / (loss)	<u>43,472</u>	<u>(101,671)</u>

MINDTECK SINGAPORE PTE LTD**DETAILED INCOME STATEMENT (Continued)**
FOR THE FINANCIAL YEAR ENDED 31 MARCH 2014

	<u>2014</u>	<u>2013</u>
	<u>\$</u>	<u>\$</u>
Administrative expenses		
Audit fee	7,200	6,000
Bank charges	3,178	2,427
Commission	5,844	10,274
Director's remuneration & CPF	154,840	152,385
Entertainment & refreshment	1,595	7,111
Equipment & hiring charges	-	2,229
Exchange loss	4,483	19,681
Insurance	300	300
Interest on late payments	6,728	-
Miscellaneous expenses	245	354
Printing & stationery	3,788	4,222
Professional fees	6,225	6,497
Postage & courier	1,321	1,692
Provision for doubtful debt	-	5,266
Rates and taxes	387	643
Recruitment expenses	20,654	9,487
Repairs & maintenance	9,665	9,125
Rental	38,296	38,295
Salary & related expenses	568,762	608,440
Subscription fees	4,745	4,444
Staff welfare	10,009	12,599
Telephone expenses	33,826	38,940
Travelling expenses	17,693	28,976
Utilities	2,722	3,163
	<u>902,506</u>	<u>972,550</u>